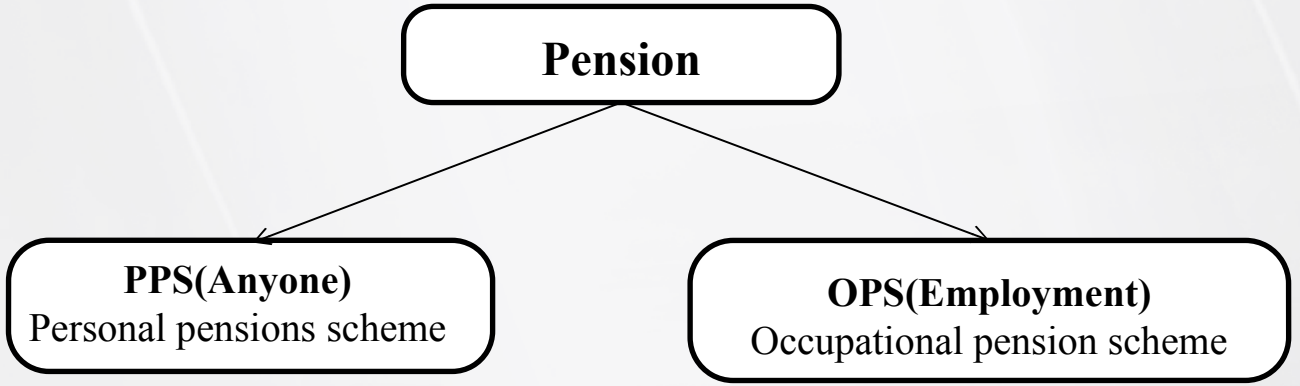
Pensions

Content

7. The use of exemptions and reliefs in deferring and minimising income tax liabilities

1. Types of pension schemes

Individuals could have different kinds of pension scheme.



For the person who is available for tax relief in pension contributions, two conditions must be met:

- The pension scheme is registered with HMRC.
- The person is resident the UK who is under 75.

2. PPS tax relief

Contribution to personal pension scheme cannot deduct from taxable income, but is qualified for tax relief as follow:

- Gross contribution of PPS×80%= Net personal pension contribution
- ANI=Net income － Gross gift aid donation － Gross PPS

  PA=£12,570 － (ANI － £100,000)×1/2
- Gross PPS could increase the donor's basic rate limit and higher rate limit.

Lecture example 1

John earned a salary of £130,000 in the tax year 2025-26. He made £10,000 to his personal pension scheme.

Calculate John's income tax liability for tax year 2025-26.

3. OPS tax relief

Employers set up OPS for their employees and contribute to OPS.

Both employee and employer could contribute to OPS.

3.1 Employee's contribution

Employee's contributions are deductible under employment income.

3.2 Employer's contribution

- For employees: exempt benefits
- For employer: a deductible trading expense

Lecture example 2

Rina earned a salary of £50,000 during tax year 2025-26. In this year, she paid £10,000 to her occupational pension scheme and her employer paid £12,000 to her occupational pension scheme.

Calculate Rina's employment income for tax year 2025-26.

4. Tax relievable contribution

4.1 Maximum of tax relievable contribution

An individual can contribute **any amount** into different pension schemes,

but not all the contributions will be tax relievable.

Maximum of tax relievable contributions by an individual is the **higher** of:

- £3,600
- An individual's relevant earnings.

Relevant earnings = Employment income + Trading income + Income from furnished holiday lettings

4. Tax relievable contribution

Illustration

Martha has UK relevant earnings of £3,000 in the tax year 2025-26. She wants to make gross personal pension contributions of £5,000.

The limitation is higher of £3,600 and £3,000, as a result, his limitation is £3,600.

She will actually pay:

	£
Contributions within the limitation 3,600×80%	2,880
Contributions beyond the limitation	1,400
	4,280

Basic rate limit = £37,700 + £3,600 = £41,300

Higher rate limit = £125,140 + £3,600 = £128,740

Lecture example 3

Anne had a salary of £20,000 in the tax year 2025-26. She wanted to make a gross contribution of £25,000 to her personal pension scheme.

(a) How much did Anne actually pay into her personal pension scheme?

(b) Calculate her basic rate limit and higher rate limit in that tax year.

5. Annual Allowance

5.1 Definition

A person’s gross tax relievable contributions are limited by annual allowance each tax year.

If total contribution (gross) > annual allowance ➔ annual allowance charge

5. Annual Allowance

5.2 Amount

The annual allowance for 2022-23 is £40,000.
The annual allowance for 2023-24 to 2025-26 is £60,000.

I.Tapered allowance

An individual's annual allowance will be reduced if adjusted income exceeds £260,000.
Adjusted income = Net income + Employee's OPS contribution + Employer's OPS contribution + Employer's PPS contribution for employee

Adjusted income	Annual allowance
≤£260,000	£60,000
Between £260,000 and £360,000	£60,000 - (Adjusted income - £260,000)/2
≥ £360,000	£10,000

5. Annual Allowance

II.Carry forward

If an individual is a member of a pension scheme and has an unused portion of the annual allowance, the portion can be carried forward to the next three tax years.

When using the annual allowance, priority should be given to the current year annual allowance, and then the earliest year of the previous three years.

Lecture example 4

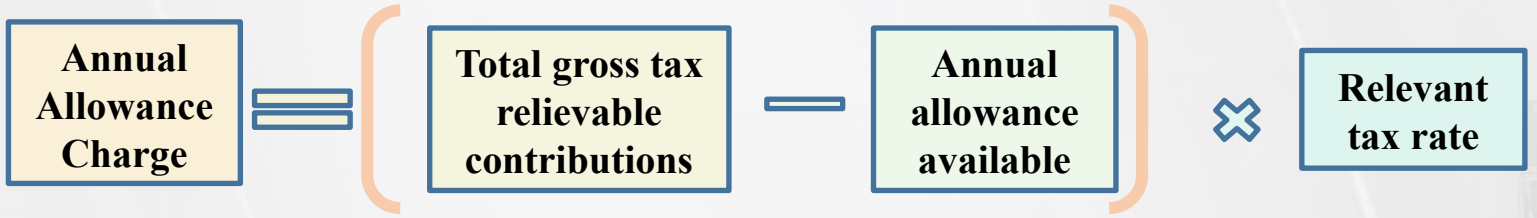
Kelly has made the following gross personal pension contributions：

	£
2022-23	32,000
2023-24	Nil (was not a member of any pension scheme)
2024-25	48,000
2025-26	58,000

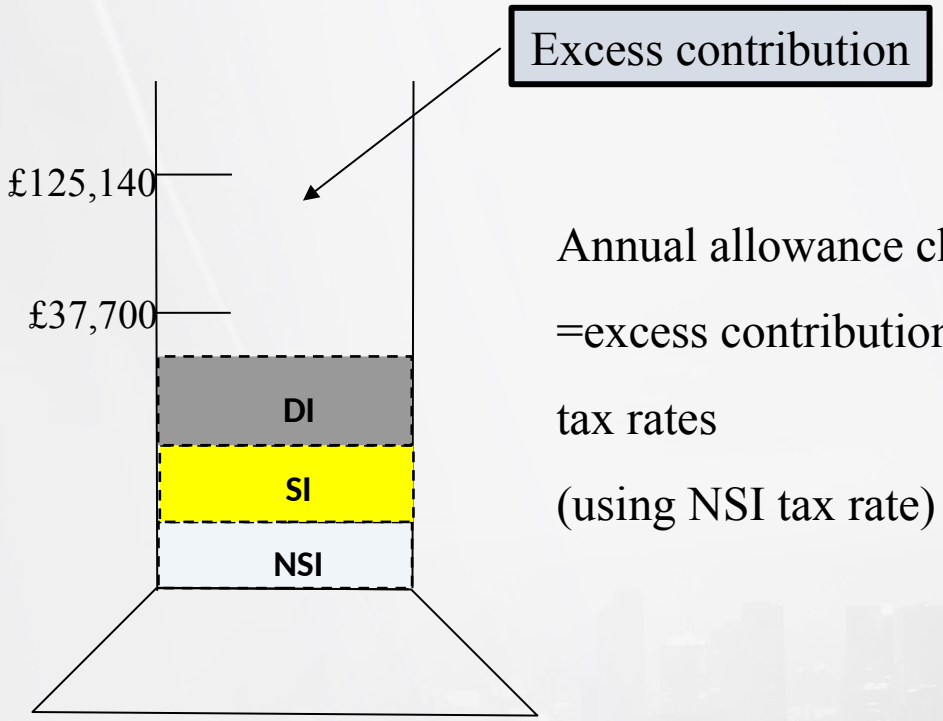
Kelly’s salary for the tax year 2025-26 is £300,000, but for previous tax years she did not have sufficient income for her annual allowance to be tapered.

Calculate Kelly’s annual allowance to carry forward to tax year 2026-27.

6. Annual Allowance Charge



6. Annual Allowance Charge



Annual allowance charge

=excess contributions × individual's marginal tax rates

(using NSI tax rate)

Lecture example 5

Jack is a sale director of Soo Ltd and earns £285,000 during tax year 2025-26. He contributes £48,000 into his personal pension scheme.

He has unused annual allowance £10,000 brought forward in the previous years.

Calculate Jack's income tax liability for tax year 2025-26.

7. Pension income

7.1 Withdrawal of pension funds

Minimum age of pension withdrawal: 55 years old.

Flexi-access drawdown:

25% of the fund: tax free lump sum. (one-off or gradually)

75% remainder of the fund: taxed as non-savings income at normal rate (i.e., 20%, 40%, or 45%)

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Practice(do by yourself first)

Practice

Jaida had employment income of £97,000 in 2025-26, and made a gross personal pension contribution of £45,000. She does not have any unused annual allowance brought forward.

What is Jaida's income tax liability for 2025-26?



谢谢观看

THANK FOR WATCHING